

Blue Ember Damages Schedule and Invoices

Admitted October 9, 2025

United States District Court for the Western District of North Carolina Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. Civil Action No. SYN-WDNC-24-CV-0520

Blue Ember presents a gross-damages schedule totaling 4.2 million dollars. The schedule has three separately traceable components: 1.35 million dollars embodied in validation lot BE214-VL-2409A, 850,000 dollars of incremental replacement and associated expense, and two million dollars of bounded delay loss. Source references identify ledgers, invoices, forecasts, calendars, and adjustments.

The schedule is gross because mitigation is shown on a separate line after the claimed loss is calculated. It does not assume that Blue Ember automatically prevails on breach, causation, foreseeability, certainty, contract limitations, or the reasonableness of its response to Cobalt Finch. Granite Heron disputes each of those matters.

Kellan Brooks prepared the analytical schedules and the business-record custodian authenticated the underlying financial sources. The totals exclude punitive damages, reputational harm, enterprise-value loss, attorney fees, and indefinite future sales. Admission permits the jury to evaluate the sources; it is not a judicial finding that every dollar is recoverable.

Original-lot component

The 1.35-million-dollar line reconciles costs assigned to BE214-VL-2409A before the September 12 transport event. Contracted production and processing account for 760,000 dollars. Materials and consumables account for 245,000 dollars. Analytical and release services account for 185,000 dollars. Campaign-specific internal labor and support account for 160,000 dollars.

Invoices, purchase records, accruals, and project entries support the external amounts. The internal allocation follows Blue Ember's pre-dispute method for comparable program work. A proposed broad corporate-overhead loading was excluded. The sum also matches the shipment's enhanced declared value, although the schedule relies on the underlying ledger rather than the declaration alone.

The quarantined lot supplied limited investigation samples but was not used for validation or a revenue-producing purpose. No material salvage value is entered. Granite Heron may challenge whether the disposition and lack of credit were caused and reasonable. Any established alternate use or reimbursement would reduce this component once; it would not be counted again against replacement expense or delay.

Replacement-expense component

The 850,000-dollar replacement line contains five categories. Replacement manufacturing services are 555,000 dollars; repeated analytical and release work is 135,000 dollars; incremental materials and logistics are 90,000 dollars; campaign-specific technical labor is 45,000 dollars; and disposition services are 25,000 dollars. Vendor and project references accompany each subtotal.

Blue Ember removed ordinary forward-development expense and 70,000 dollars of management time lacking adequate incremental support. It also checked for duplicated invoices, reusable work, vendor credits, and insurance receipts. No payment duplicating a retained item was identified through the schedule date, subject to continuing disclosure.

These charges concern the actual Aurora Quay replacement path beginning March 3, 2025. They do not include the original lot's 1.35-million-dollar cost and do not include Cobalt Finch's unincurred 300,000-dollar estimate. Granite Heron's separate objections to necessity, allocation, contract limits, and causation remain available. A hypothetical earlier-site cost belongs in mitigation arithmetic, not as an addition to actual gross expense.

Bounded delay component

The two-million-dollar delay line derives from Blue Ember's August 2024 program forecast and a defined displacement window. The calculation maps affected development and collaboration milestones, applies the company's pre-event program-risk method, subtracts avoided variable spending, and stops at the selected recovery boundary. It does not value perpetual sales or assume regulatory approval.

The unrounded result is 2.04 million dollars; Brooks rounded downward to avoid false precision. A post-event upside scenario and an unapproved volume expansion were excluded. The model permits timing, contribution, and risk assumptions to change independently so the jury can test them.

The delay amount is distinct from the 2.2-million-dollar direct subtotal. It may be reduced if Granite Heron proves that a reasonable Cobalt Finch course likely would have advanced the schedule. The proposal's December 2 manufacturing start was not immediate final disposition, so any avoided-loss finding must account for transfer, testing, review, and remaining uncertainty. Granite Heron contests whether any delay category is sufficiently foreseeable or certain.

Reconciliation and alternative outcomes

The gross equation is 1.35 million dollars plus 850,000 dollars plus two million dollars, yielding 4.2 million dollars. A net mitigation finding is subtracted only after that total. The worksheet displays gross avoidance, incremental alternative cost, and net deduction in separate fields to prevent reversed or duplicate arithmetic.

If the net mitigation deduction is 300,000 dollars, the resulting award is 3.9 million dollars. If the net deduction is 1.5 million dollars, the result is 2.7 million dollars. The latter scenario reflects 1.8 million dollars of avoided delay less 300,000 dollars of hypothetical transfer and qualification cost. Neither scenario is labeled the required verdict in this exhibit.

The custodian certified invoice totals and source relationships; Brooks certified his calculations and limitations. Granite Heron may seek a lower gross base as well as a mitigation reduction, but an adjustment must be placed on the correct line. The schedule contains no amount generated by interpreting raw laboratory or device data and does not resolve liability.